President Premadasa visited India in October 1992. India expressed her willingness to extend support for effective devolution of power within the framework of an early solution to the ethnic problem. President Chandrika Kumartunga visited India again in 1995. Her visit greatly helped in re-establishing friendly tie between the two countries. In 1997, India's External Affairs Minsiter I.K. Gujral visited Colombo and announced certain concessions in various matters including trade without expecting any reciprocity. In December 1998, the India-Sri Lanka Free Trade Agreement (ISFTA) was signed which became operational from March 2000. Under this agreement both sides are committed to eliminate tariff barriers in a phased manner. India has kept its commitment of reducing its duty to zero except for 429 items in the negative list. In 2003 breakthrough in the economic relation of both the countries took place with the signing of Comprehensive Economic Cooperation Agreement (CECA). A defence agreement also followed the CECA.

With the assumption of Office by Mahinda Rajapakse, Indo-Sri Lankan relations took a new turn. He visited India in 2004. India agreed to help in the rehabilitation and reconstruction of North-eastern province of Sri Lanka. India time and again reassured Sri Lanka that the only way the ethnic problem can be solved is by pursuing a dialogue process and not a 'military solution'. India even backed Sri Lanka in the Human Rights Council in 2009. In 2009, things again took a different turn as the LTTE leader Prabhakaran was killed. With his death the process of devolution started, and India assured Sri Lanka of her assistance for rehabilitation of the displaced people.

After the 26th January 2010 Presidential elections in Sri Lanka, the newly re-elected President Mahinda Rajapakse met the Indian Foreign Secretary Nirupama Rao in Colombo on 7 March 2010. An official statement released from the Presidential Secretarial upheld India's willingness to assist Sri Lanka in the resettlement of the Tamil IDPs (Internally Displaced Persons) from the war-ravaged areas in North Sri Lanka. India also expressed her intention to assist Sri Lanka in the restoration of the railway line in the North. Other issues discussed were problems being faced by fishermen of both countries, proposed coal powered project in Trincomalee,